

MELI Investment Memo

MercadoLibre, Inc. (NASDAQ: MELI) | 2026-07-02

The Business in 30 Seconds

MercadoLibre is the leading e-commerce and fintech platform in Latin America — 121 million unique active buyers, \$65.0 billion in GMV, and 78 million fintech monthly active users — operating across 18 countries in commerce and 8 in fintech, with 95.6% of revenue concentrated in Brazil, Argentina, and Mexico [MELI_10K_FY2025.htm, Item 1].

What's Going Right

Strong absolute growth across every headline metric. Revenue grew 39.1% YoY to \$28,893 million in FY2025 [MELI_10K_FY2025.htm]; GMV, TPV, and fintech MAU all grew at double-digit-to-triple-digit rates.

Fintech continues gaining share of the mix. Fintech revenue grew 46.2% YoY versus 34.0% for Commerce [MELI_10K_FY2025.htm, Item 7] — the faster-growing segment is becoming a larger share of the business.

Strong and accelerating free cash flow. FCF more than doubled from \$4,631M (FY2023) to \$10,773M (FY2025) [MELI_10K_FY2025.htm].

Disciplined capital structure. No dilution since the 2028 convertible notes retired in November 2023; conservative, opportunistic parent-level debt issuance (new \$750M 2033 Notes issued December 2025 alongside repaying the maturing 2026 Notes) [MELI_10K_FY2025.htm, Note 16].

Credible internal CEO succession. (Note: from external source) Ariel Szarfsztejn, with MELI since 2017 across strategy/logistics/marketplace roles, became CEO January 1, 2026; founder Marcos Galperin remains involved as Executive Chairman.

What Could Go Wrong

Brazil's segment margin declined YoY despite strong revenue growth. Direct contribution fell from \$2,286M to \$2,075M (FY2024 → FY2025) even as Brazil revenue grew 33.3%

[MELI_10K_FY2025.htm, Note 8] — direct financial evidence of competitive margin pressure in MELI's largest market (52.6% of revenue).

The credit business's per-dollar profitability has compressed sharply. NIMAL fell from 36.2% (FY2023) to 22.4% (FY2025) even as the loan book has nearly doubled annually

[MELI_10K_FY2025.htm, Item 7] — provision for doubtful accounts grew 194% over the same period, now 10.7% of total revenue.

The company's own risk factors acknowledge low barriers to entry. [MELI_10K_FY2025.htm, Item 1A]: "Barriers-to-entry for large, well-established technology companies are relatively low, and current and new competitors can launch new sites at a relatively low cost using commercially available software" — an unusually direct, self-disclosed admission that undercuts a durable-moat narrative.

Extreme geographic/currency concentration. [MELI_10K_FY2025.htm, Item 1A]: Brazil, Argentina, and Mexico represent 95.6% of revenue; Argentina alone saw 211.4% inflation and 356.3% currency depreciation as recently as FY2023.

Four consecutive quarterly EPS misses. (Note: from external source) Q1 2026 revenue beat consensus by ~6.8% but EPS missed by ~12.2%, with the stock falling ~11-13% on the print — a persistent, not one-off, margin disappointment pattern.

Named competitive pressure not disclosed in the company's own filings. (Note: from external source) Amazon's reported >\$10 billion Brazil investment and Shopee's rapid share gains (~15% of Brazilian e-commerce GMV, from near-zero in 2020) do not appear anywhere in MELI's three 10-Ks reviewed, despite being externally cited as the primary drivers of recent margin pressure.

The Numbers That Matter

Metric	FY2025	FY2024	FY2023
Revenue (\$M)	28,893	20,777	15,107
Revenue Growth	+39.1%	+37.5%	—
Income from Operations (\$M)	3,201	2,631	2,207
Net Income (\$M)	1,997	1,911	987
Diluted EPS	\$39.40	\$37.69	\$19.46
FCF (\$M)	10,773	7,058	4,631
Total Debt (\$M)	9,193	5,715	4,495
Cash + ST Investments (\$M)	6,299	7,120	6,036

Metric	FY2025	FY2024	FY2023
Total Loans Receivable, Net (\$M)	9,365	4,895	2,694
NIMAL	22.4%	28.2%	36.2%
Diluted Shares (M)	50.7	50.7	51.0

Source: [MELI_10K_FY2025.htm], Consolidated Financial Statements, Item 7, and Note 8.

Valuation

Multiple	Value	Context
Trailing P/E	46.6x	(external — second-highest among direct peers)
Forward P/E	43.3x	(external)
EV/EBITDA	24.4x	(external)
Dividend Yield	N/A	No dividend since 2017 (external)

Scenarios (see [[Valuation Check]] for full assumptions):

Scenario	Fair Value	Return
Bull	~\$2,250	+28%
Base	~\$1,760	~Flat
Bear	~\$1,140	-35%

Moat Assessment

Source	Rating
Switching costs	Moderate
Network effects	Moderate
Cost advantages	Moderate
Intangible assets	Moderate
Efficient scale	Weak

Source	Rating
Trajectory	Narrowing

Decision

Current stance: Monitor

MercadoLibre remains the clear regional leader in Latin American e-commerce and fintech, with strong absolute growth in users, GMV, and cash flow. But this is a name where the bear case is directly supported by the company's own filed financial evidence — Brazil's segment margin compressed even as revenue grew strongly, and the credit business's per-dollar profitability has fallen by roughly a third over two years while the loan book has nearly doubled annually — not merely by external speculation about competitive pressure. Layer on extreme three-country revenue concentration, Argentina's history of severe currency volatility, a premium valuation that leaves little room for continued disappointment, and an unproven new CEO succeeding a two-decade founder-led tenure, and this is a name to watch for confirmation of margin stabilization over the next 1-2 quarters rather than either a clear buy or a clear avoid at the current price.

Key triggers to watch: - Next 1-2 quarters' segment-level margin data, especially Brazil - NIMAL trend and provision-for-doubtful-accounts trajectory in upcoming disclosures - Confirmation of new CEO Ariel Szarfsztejn's strategic priorities and capital-allocation approach - Resolution of pending Mexico and Argentina banking license applications

Key risks to monitor: - Structural (not temporary) Brazil margin compression from Amazon/Shopee/Temu competition - Credit-portfolio asset-quality deterioration as newer loan vintages season - Renewed Argentina currency/inflation volatility given its 20.6% revenue share - Continued quarterly EPS misses eroding market confidence in the premium multiple

Sources: MELI Form 10-K filings (FY2023-FY2025, filed with the SEC February 2024/2025/2026), MELI Q1 2026 earnings coverage (external source), external market data (stockanalysis.com, various news sources). All financial metrics cited from filings unless explicitly flagged as external data.